

Professorship of Corporate Law

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Prof. Dr. Stefanie Jung, M.A. (CoE)

Business Law Exercise – Session 1

Ronja Bundrock

Summer Term 2026



Introduction I

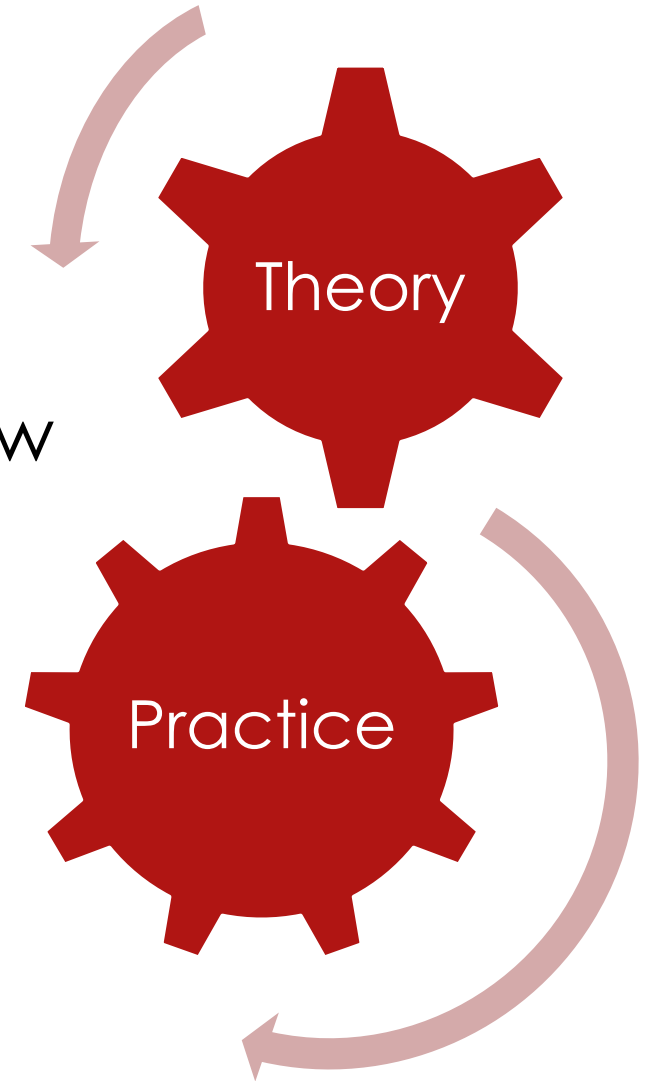
(1) Short introduction

(2) General information

(3) Legal methodology

- How to solve a case
 - How to write a legal opinion
 - How to work with the IRAC scheme
 - How to use structure levels
 - How to use paragraphs
 - How to cite the law
-

- **Module Structure**
- **Lecture**
 - Provides abstract knowledge
 - Gives you an idea about German business law
- **Exercise**
 - Apply what you have learned in the lecture
 - Teaches you the technique to solve a case



■ You should know:

- It will be a challenging course
- Learning the content by heart is not enough
- The content must be applied to unknown, concrete cases
- This requires a lot of practice over time

■ However

- The course is doable, if you follow it from the beginning
- If you start learning last minute, you will have a hard time passing the exam

Tips:

- Use and mark the law book
- Write down shemes
- Learn by working through case studies and revision questions

Structure of the exam

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1. Part: Cases

+

2. Part: Theory Questions

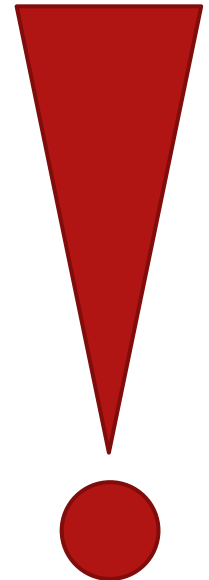
Mastermodul: IBL (old) &
BL (new)

- Both 120 min
- Probably 2 cases,
perhabs 1 modification
- Probably 9-10
questions

- **Approach in the exercise**
 - **Revision questions**
 - Repeat knowledge from the lecture
 - **Cases**
 - Interactive solution of the case by you
 - I will moderate the discussions
 - **Technique to solve cases**

- **Actively take part:**
 - **Before the exercise**
 - Prepare the session
 - Case facts will be uploaded at the beginning of the week on Moodle
 - **During the exercise**
 - Participate
 - Ask questions
 - **After the exercise**
 - Rework the session
 - Case solutions will be uploaded at the end of the week on Moodle
 - Formulate case solutions as legal opinion
 - Work out the shemes

- **Practicing case solution:**
 - **Exercise cases**
 - Small cases to demonstrate mostly one problem
 - **Cases comparable to the exam**
 - Bigger cases with a combination of multiple problems
 - Example Exam I (Meeting July 2026)
 - Example Exam II (for self-study)
 - (Additional Mock Exam (tba))
 - **Practising legal opinion style**
 - Examples of full texts spread over the exercise
 - Writing Workshop (10 June 2026)



- **Materials**

- **Legal text**

- The most important tool in this course → PRINT IT!

- **Slides** from the lecture and exercise

- Your “script”

- **Additional material and literature**

- Not necessary

Questions?

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Ronja Bundrock: ronja.bundrock@tum.de

Use your TUM email address!

Starting point: Case with questions

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Winter term 2021/2022
BL I / IBL EXAM TRAINING (Regular)



Case Section (70 points in total)

Case – Basic constellation (25 points)

G is a mechanic that lives in Heilbronn. In his free time, G is also a great gourmet and wine lover. On 10. July, when G is at home, the doorbell suddenly rings. When G opens the door, a woman is standing in front of him with a brochure. The woman introduces herself as winemaker W, who runs her own winery in the region. W would like to advertise her new wine. G is surprised at first. Although he knows a lot about wine, this winery is unknown to him. Therefore, he is interested. However, he doesn't have much time because he has to go to an appointment shortly and hardly listens to W.

W offers G to sell him a bottle of this new wine at a tasting price of 8 €. W properly informs G of his rights in the case of such a contract. G agrees and pays the money.

When G returns from his appointment, he realizes that he does not like the kind of wine that W sold him at all. He therefore wants to return it. But then G forgets again about the bottle. Not before 26. July, he drives to W and leaves the bottle with a post-it in front of the entrance with the following text:

Dear W, I am still very interested in your winery. However, I don't want to keep the bottle you sold me some time ago. Please give me the money back when you get a chance. Best regards, G (+49 1754 393756).

Question 1: Has G effectively withdrawn his declaration of intent?

Note: Formulate full sentences and write the solution in the style of a legal opinion.

Case – Modification I (20 points)

Even though G was not a big fan of the wine he bought from W, he is still interested in W's winery. Therefore, the next day he visits W's website. In doing so, G discovers W's online shop and browses a bit. G decides to buy at least a few grapes, since they are locally grown. But there is a minimum order quantity, so G has to buy five kilograms for a total of 20 €. G is properly informed about his rights.

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The grapes are delivered by W two days later. G's boyfriend, who receives the delivery, is shocked. How are the two of them supposed to eat five kilograms of grapes in just a few days. G also realizes that once again it was a bad purchase and wants to return the grapes five days later. However unlike the first time, W is not very obliging. W is of the opinion that she has no use for grapes that are no longer fresh. She therefore refuses to refund G his money.

Question 2: Has G effectively withdrawn his declaration of intent?

Note: Formulate full sentences and write the solution in the style of a legal opinion.

Case – Modification II (25 points)

G decides to turn his passion for good drinks and food from a hobby into a profession and opens a small bistro in the city center of Heilbronn. For the grand opening night on 10. August, G orders beverages from the wholesaler B-GmbH (effectively represented by its director), which is located in Stuttgart. The parties agreed on 15:00 on 10. August as the latest possible delivery time, because G needs to prepare the grand opening. The order includes, among other things, four cases of a very popular 2018 Tuscan red wine. The price per bottle is 12 €. G paid in advance.

Unfortunately, on the way from Stuttgart to Heilbronn, the bottles of wine are destroyed in a car accident. When B-GmbH learns of this, it immediately tries to organize four new cases. This is possible, but it does not work out as quickly as desired. On the evening of the grand opening, G cannot offer the wine as planned.

When the wine is finally delivered a week later, G no longer wants it. His business idea has turned out to be a big flop, so he has already closed the bistro. Even G as a wine lover cannot use four cases of wine privately. So G calls B-GmbH and says to an employee: "You can pick up your wine again, I don't need it anymore. I would like the money I paid in advance back."

Question 3: Did G effectively revoke the contract?

Note: Formulate full sentences and write the solution in the style of a legal opinion.

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Theory Question Section (30 points in total)

Note: Theory questions can be answered in conclusive bullet points and/or short sentences. A legal opinion is not required.

Question 4: What is the difference between possession and ownership? (4 points)

Question 5: Doris, Earnest and Fergie want to set up a company. Earnest and Fergie want to contribute € 20,000 each. Doris does not have any savings, but she will be in charge of running the business. Earnest and Fergie are not interested in participation in day-to-day management but they still want a say when it comes to important decisions. What would be the appropriate type of business association? Justify your answer. (10 points)

Question 6: What are the advantages and risks of agency? (6 points)

Question 7: Unfortunately, student S does not have good grades. To change this, she hires tutor T. T is supposed to help her to repeat and understand the contents of the lectures. But T tells S right from the start: "I'll do my best for you. However, I really can't work miracles." Nevertheless, S hopes that she can improve her grades with T's help. After all, she pays her 15 € an hour. What kind of contract did the parties enter into? What other contract types did you consider and why? (5 points)

Question 8: What is the result of applying the blue pencil test to this clause? If the application is possible, which part of the clause stands up to a content control and which does not? (5 points)

"Liability is limited to 50,000 € for gross negligence and 25,000 € for slight negligence per case of damage."

Outcome: Solution as a legal opinion

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Legal opinion style

A. Haag

D could have effectively represent C when he concluded the purchase agreement (§ 433 BGB) with A according to § 164 I 1 BGB. Therefore D must make an own declaration of intent in the name of C within the scope of power of representation (§ 164 I 1 BGB).

I. This requires an own declaration of intent made by D pursuant to § 164 I 1 BGB. D formed and expressed his own will to conclude a purchase agreement (§ 433 BGB) about the dog sculpture. So an own declaration of intent by D is given.

I. The principle of publicity needs to be respected. According to § 164 I BGB D must act in the name of principal C.

1. D could have explicitly acted on behalf of C. However D didn't tell A that he was looking for a piece for C's collection. D didn't act explicitly in the name of C.

2. The principle of publicity could have been respected implicitly, i.e. from the circumstances (§ 164 I 2 BGB). C was A's most loyal customer and her employee D regularly bought bronze sculptures with animal motives from C's (1)

favorite artist A for C. On top of that A thought that this purchase must be an extension to C's collection.

3. Finally D acted implicitly in the name of C.

III. It is necessary that D acted with power of representation pursuant to § 164 I 1 BGB. Pre-requisite is that C conferred power of representation to D and that D acted within this scope of power of representation.

1. C must have conferred the power of representation to D. This requires a declaration to the person to be granted authority, or to the third party in relation to whom the authority is to have effect (§ 167 I BGB).

a) D was employed by C as an art dealer to search for pieces for her collection. Besides that C told D that he should buy the wolf sculpture for her. So internal authorisation (§ 167 I Alt. 1 BGB) is given.

b) C could also have authorised D externally (§ 167 I Alt. 2 BGB) towards A. A seems to know that D is allowed to act on behalf of C. However it is not sure whether C told A.

c) Power of representation has been conferred to D, (2)

at least by internal authorisation.

2. It is necessary to examine whether D acted within the scope of power of representation.

a) On the one hand D bought a hunting dog sculpture of bronze that is very close to the desired sculpture and will fit in well with C's collection. That means that the sculpture and the purchase are probably to C's liking.

b) Nevertheless D didn't buy the desired wolf sculpture how he was meant to do. It is likely that C approves the purchase afterwards and D did not thereby exceed his power of representation. However, until such approval is given, D was not acting within the scope of his power of representation.

c) For now D didn't act within the scope of representation.

III. D didn't represent C effectively when purchasing the dog sculpture.

That's a short example, exam will be longer

preparation of the case study

1. Understanding the case facts and analysing characteristic features

→ What is the essential information and problem?

2. Understanding the case question

→ What kind of result am I looking for?

3. Identifying the legal basis

→ Which provision helps me to answer the question?

4. Applying the case facts given to the legal basis

→ Are all the requirements of the legal basis fulfilled?

5. Drawing the final result

→ How is the case question to be answered?

How to solve the case

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Producer (P) manufactures sports products and wants to buy new machinery for the production. Therefore, P meets with the managing director (D) of the Machinery Corp GmbH (M). On April 3rd they start their negotiations but haven't reached an agreement. P and D agree on a week to think about the contract. In this period, P makes up her mind and purchases the machines from M's competitor (C).

Question: Did P and M conclude a contract?

Problem?

1. Understanding the case facts and analysing characteristic features

➔ What is the essential information/problem?

- Read the case two times
- Stick to the given facts
 - Do not question or interpret neutral narratives
 - Challenging facts is a loss of time and points
 - However assertions made by the parties are an invitation to examine them for their accuracy
- Find a way to structure the relevant information

How to solve the case

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1. Understanding the case facts and analysing characteristic features

→ What is the essential information/problem?

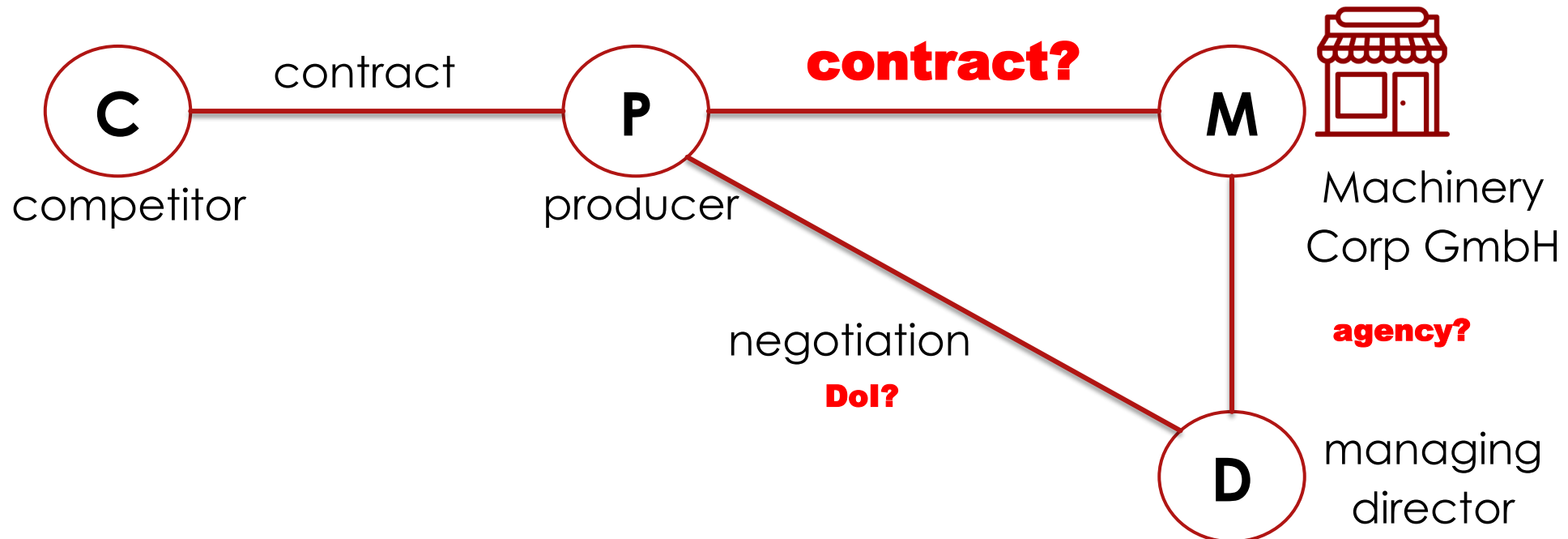
- E.g. highlight the text in different colours:
 - Persons
 - Time dates
 - Additional information, that could be relevant

Producer (P) manufactures sports products and wants to buy new machinery for the production. Therefore, P meets with the managing director (D) of the Machinery Corp GmbH (M). On April 3rd they start their negotiations but haven't reached an agreement. P and D agree on a week to think about the contract. In this period, P makes up her mind and purchases the machines from M's competitor (C).

1. Understanding the case facts and analysing characteristic features

→ What is the essential information/problem?

- E.g. visualize the case with a sketch:
(Constellations involving several persons)



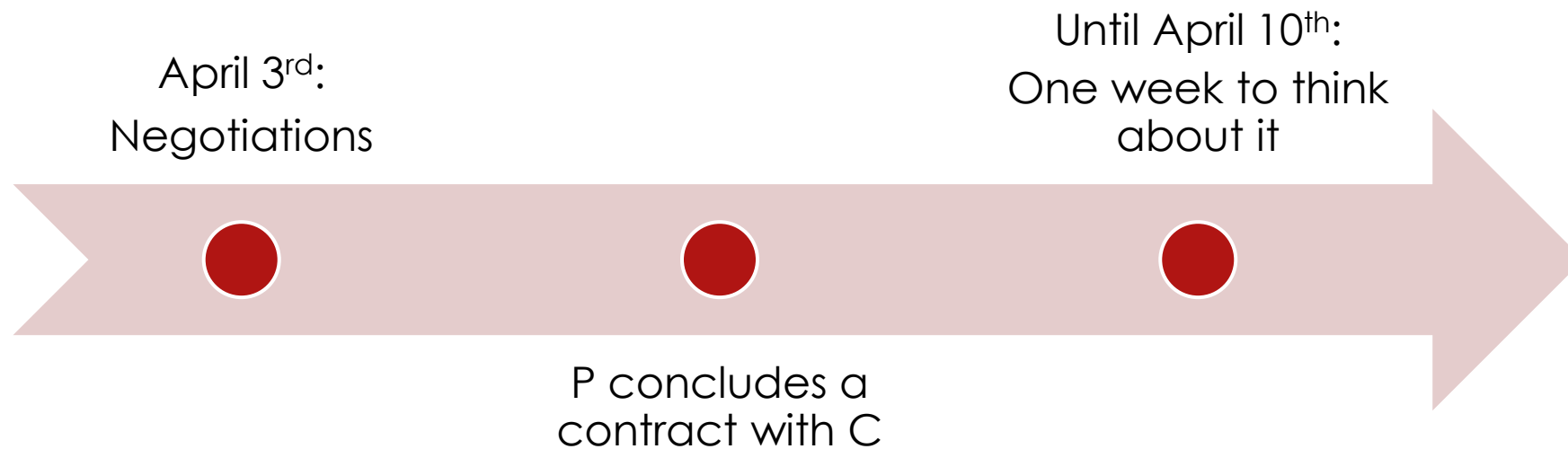
How to solve the case

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1. Understanding the case facts and analysing characteristic features

→ What is the essential information/problem?

- E.g. visualize the case with a timeline:
(Constellations involving several events)



1. Understanding the case facts and analysing characteristic features

→ What is the essential information/problem?

- E.g. collect arguments with a table:
(Problems with different possible solutions)

Pro contract	Con contract
P and D negotiated	No intention of P to be bound
Negotiations were not over	Period to think about it
Moral obligation of P?	

2. Understanding the case question

→ What kind of result am I looking for?

- **Specific question:**

- E.g. *“Did P and M conclude a contract?”*
- Simplest scenario

- **Open question:**

- E.g. *“What is the legal situation?”*
- More difficult because interests need to be identified

1. Understanding the case facts and analysing characteristic features

→ What is the essential information?

2. Understanding the case question

→ What kind of result am I looking for?

3. Identifying the legal basis

→ Which provision helps me to answer the question?

4. Applying the case facts given to the legal basis

→ Are all the requirements of the legal basis fulfilled?

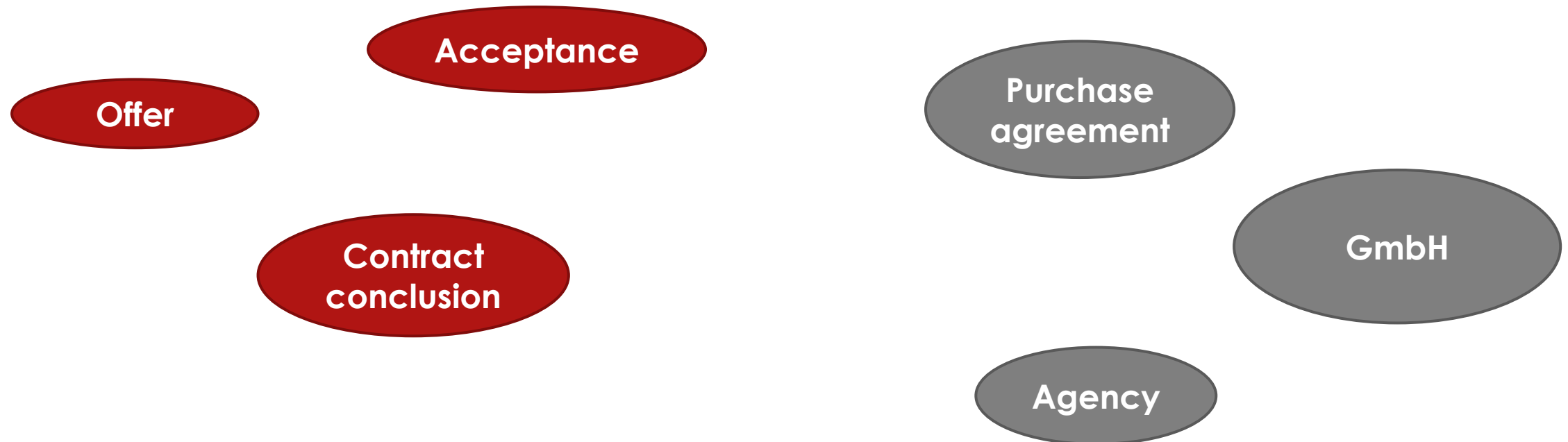
5. Drawing the final result

→ How is the case question to be answered?

3. Identifying the legal basis

➔ Which provisions help me to answer the question?

- Consider which topic areas could be relevant, e.g.:



3. Identifying the legal basis

→ Which provision helps me to answer the question?

- **Ideal scenario:** You can connect those topics to a legal provision, e.g.:



3. Identifying the legal basis

➔ Which provision helps me to answer the question?

- **Worst scenario:** You cannot connect those topics to a legal provision
 - Structure of the law can help
 - Skim the headings in the law text and look for relevant provisions
 - Regulations on one topic usually stand side by side
 - Read the relevant provisions till the end

3. Identifying the legal basis

→ Which provision helps me to answer the question?

		
Book 1	Book 2	Book 3
Introductory Part	Law on Contractual Obligations	Property law
§§ 1 – 240 BGB	§§ 241 – 853 BGB	§§ 854 – 1296 BGB
General rules, which apply to all other books	Legal relationships between several contractual parties	Property law is primarily concerned with the relationship between individuals and property

4. Applying the case facts given to the legal basis

→ Are all the requirements of the legal basis fulfilled?

- **What is needed?**

- E.g. contract conclusion
 - Two matching declarations of intent
 - Namely offer and acceptance (§§ 145 et seqq. BGB)

- **What is given?**

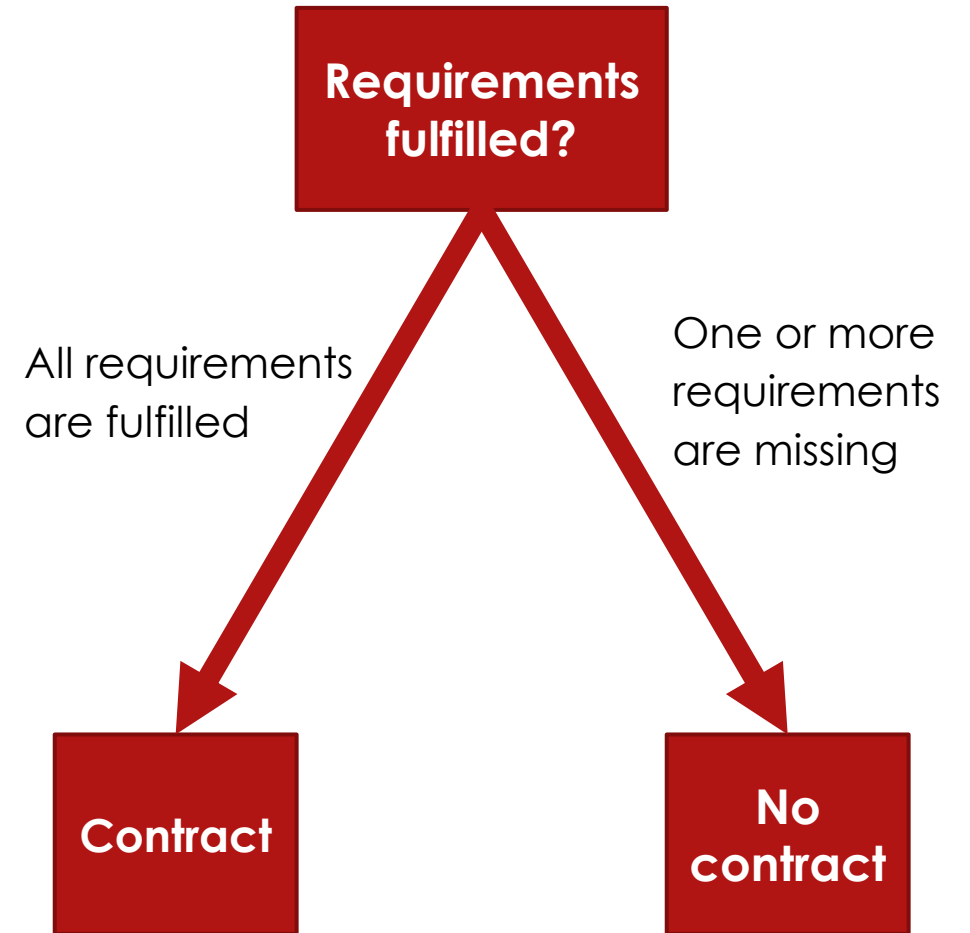
- E.g. specific case facts
 - Started negotiations but agreed on thinking period

Problem!

5. Drawing the final result

→ How is the case question to be answered?

- Result needs to answer the case question
- **Question:**
Did P and M conclude a contract?
- **Answer:**
P and M have not concluded a contract.



Now you should have:

- Rough outline of the case solution
- Answer to the question asked
- **This can be on paper/in your mind**

Next step:

- Writing the solution down as a legal opinion with all the formalities that are typical for it

writing the solution to the case

How to write a legal opinion

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- **Specific rules for solving a legal case**
 - Certain form and structure
 - 100% adapted to solving a case
 - Open unbiased examination of the case
 - Result of the examination is open until the end

- Although it is called opinion, it is an **objective text**
 - Use neutral language
 - “It is necessary ...”
 - “There must be ...”
 - “... is needed/required.”
 - NOT: “**I/We** will examine ...”

How to write a legal opinion

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- A **continuous, handwritten text** with complete sentences is expected
- On the slides are mostly bullet points for time and space reasons

Legal opinion style A. Haag

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That's a short example, exam will be longer

How to write a legal opinion

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- Legal opinion style is based on the **if ... then technique**
 - Technique
 - First step: Conditions (**If** a certain condition is fulfilled ...)
 - Second step: Result (**Then** the result is ...)
 - Example
 - “The parties **agreed on the essential contractual elements.** Thus they **concluded a contract.**”
 - “The parties **did not agree on the essential contractual elements.** Thus they **did not conclude a contract.**”

How to write a legal opinion

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- Legal opinion style uses the **if ... then technique**
- Signal words
 - D and E agreed on the sale. **Therefore** ...
 - All the requirements are given. **Thus/Finally** ...
 - T has not made any error, **so** ...

How to write a legal opinion

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- The opposite of the legal opinion style is the **judgment style**
- Goal
 - Efficient way to write a court decision
 - Result is presented right at the beginning to convince the reader
- Technique
 - First step: Result (The **result is** ...)
 - Second step: Justification (**Because** ...)



How to write a legal opinion

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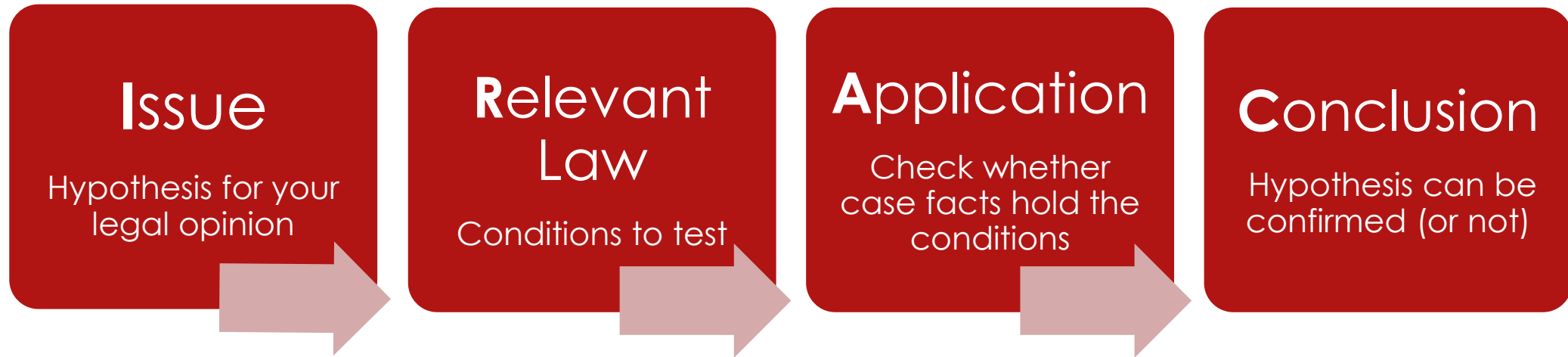
- The opposite of the legal opinion style is the **judgment style**
- Example
 - “The parties **concluded a contract** because **they agreed on the essential contractual elements.**”
 - “The parties **did not conclude a contract** because **they did not agree on the essential contractual elements.**”
- Signal words
 - B and C concluded a contract **because** ...
 - X cannot claim damages **since** ...
 - R has no right to revoke **as** ...



How to work with the IRAC Scheme

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- **Four step approach**, characteristic for a legal opinion



- **Advantages**
 - Clear structure for users and readers
 - User recognizes most problems in the case
 - Prevents user from offloading irrelevant knowledge
 - Helps the user when (s)he is unsure about how to solve the case

How to work with the IRAC Scheme

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Issue	Relevant Law	Application	Conclusion
- = Hypothesis - What result are you looking for? - Never formulated as a question	- Abstract description of the conditions that must be met in order to confirm the hypothesis	- Do the concrete case facts meet the abstract conditions?	- Answer whether the hypothesis can be confirmed or not
<u>Example:</u> "A and B could have concluded a contract acc. to (e.g.) § 433 BGB"	<u>Example:</u> "For a contract conclusion offer and acceptance are necessary (§§ §§ 145 et seqq. BGB)."	<u>Example:</u> "A asks B if he is interested in buying his bike for 100€. The latter answers yes."	<u>Example:</u> "A and B have concluded a contract."

How to use **structure levels**

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- Legal opinion style always follows a certain structure:

Mixed classification
principle

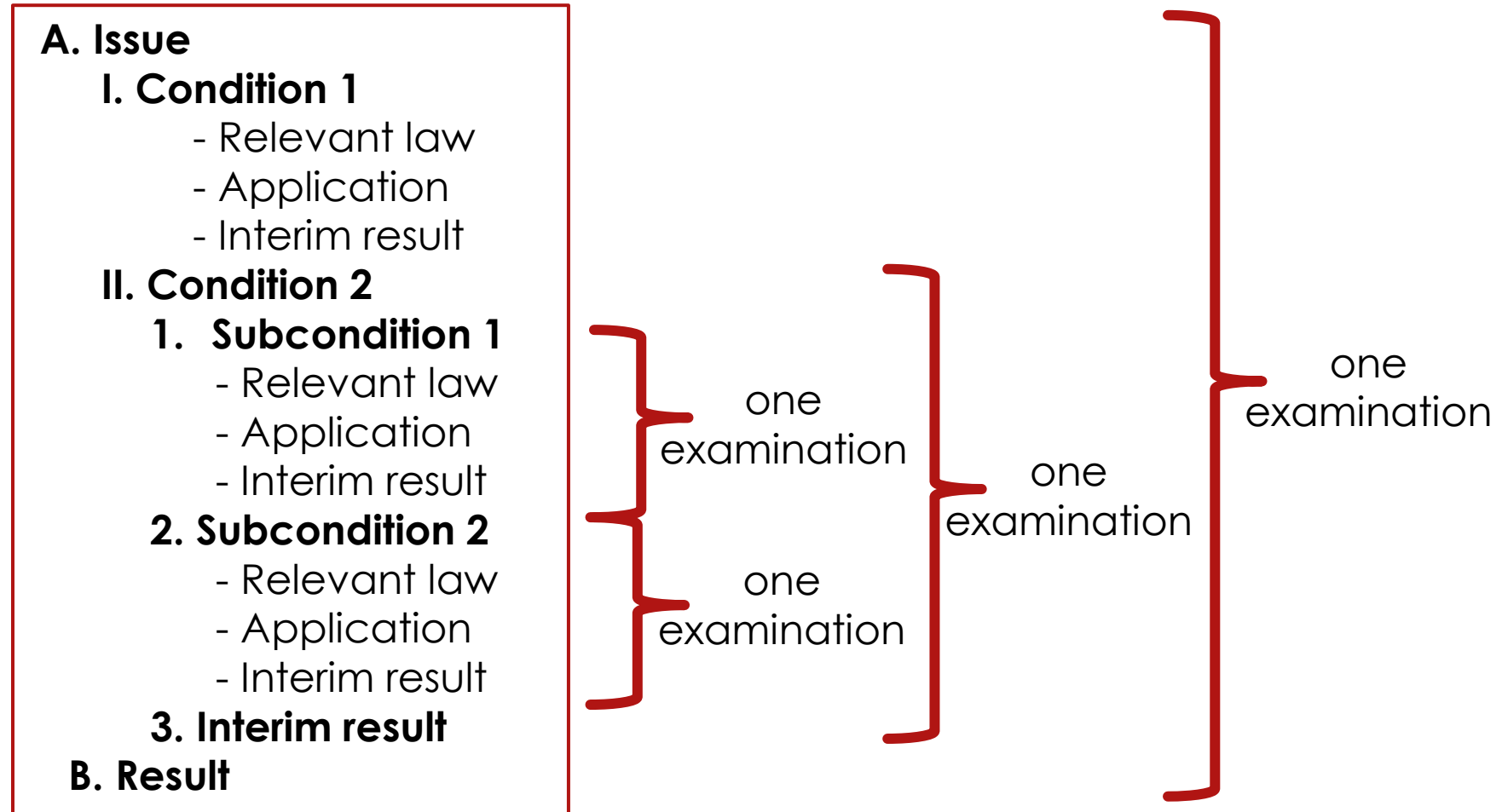
A. Level 1
 I. Level 2
 II. Level 2
 ...
 1. Level 3
 2. Level 3
 ...
 a) Level 4
 b) Level 4
 ...
 aa) Level 5
 bb) Level 5
 ...
 B. Level 1
 ...

„Who says a
must also say b“

How to use **structure levels**

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- Structure levels help the user and reader to keep the overview:



How to use **structure levels**

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- Concrete example for the use of structure levels:

A. Payment of purchase price (§ 433 II BGB)
 I. Purchase agreement
 1. Offer
 a) Essentialia negotii
 aa) Parties
 bb) Good
 cc) Price
 dd) Result
 b) Intention to be legally bound
 c) Result
 2. Acceptance
 ...
 3. Result
 II. Final result

- At least after each structure level you should start a new paragraph

- Always quote a provision if possible
- Be accurate

- Integrate the provision into your text, e.g.
 - Through words like “according to” or “pursuant to”
 - Put the cited provision in brackets

- Citing several provisions:
 - Two: §§ 433 **et seq.** BGB (§§ 433, 434 BGB)
 - More than two: §§ 433 **et seqq.** BGB (at least §§ 433, 434, 435 BGB)

- **§:**
 - Sections of the law
- **I, II, III, ...:**
 - Roman numbers in capital letters stand for the subsection
 - In the law text search for (1), (2), (3), ...
- **1, 2, 3, ...:**
 - Arabic numbers refer to individual sentences in the provision
 - In the law text search for superscript numbers
- **No. 1, No. 2, No. 3, ...:**
 - Numbers refer to an individual item
- **Alt. 1, Alt. 2, Alt. 3, ...:**
 - Some provisions list several alternatives in the same sentence

§ 433

Typical contractual duties in a purchase agreement

- (1) ¹By a purchase agreement, the seller of a thing is obliged to deliver the thing to the buyer and to procure ownership of the thing for the buyer. ²The seller must procure the thing for the buyer free from material and legal defects.
- (2) The buyer is obliged to pay the seller the agreed purchase price and to accept delivery of the thing purchased.

- **Correct citation would be: § 433 I 1 BGB**

§: Sections
I: Subsections
1: Sentences
No. 1: Numbers
Alt. 1: Alternatives

§ 119 Voidability for mistake

- (1) A person who, when making a declaration of intent, **was mistaken about its contents or had no intention whatsoever of making a declaration with this content**, may avoid the declaration if it is to be assumed that he would not have made the declaration with knowledge of the factual position and with a sensible understanding of the case.
- (2) A mistake about such characteristics of a person or a thing as are customarily regarded as essential is also regarded as a mistake about the content of the declaration.

■ § 119 I BGB contains two types of errors:

- § 119 I **Alt. 1 BGB** → error of content
- § 119 I **Alt. 2 BGB** → error of declaration

§: Sections
I: Subsections
1: Sentences
No. 1: Numbers
Alt. 1: Alternatives

§ 434 Material defects

(1) The thing is free from material defects if, upon the passing of the risk, the thing is conform with the subjective requirements, the objective requirements and the assembly requirements of this provision.

(2) ¹ The thing is conform with the subjective requirements, if

1. the thing has the agreed quality,

2. it is suitable for the use intended under the contract and

3. it is supplied along with the agreed accessories and the agreed instructions including the assembly and installation instructions.

[...]

- **Correct citation would be: § 434 II 1 No. 2 BGB**

§: Sections

I: Subsections

1: Sentences

No. 1: Numbers

Alt. 1: Alternatives

Thank you
for your attention!

